THE WTI POSITION

REVIEW OF THE DRAFT MEMORANDUM

Innventure, Inc. · Nasdaq: INV

Western Technology Investment credit facility and warrant position

Document reviewed	WTI_Innventure_Memo.docx — approximately 4,290 words, dated 29 August 2026
Date of review	29 August 2026
Findings	**5 critical · 7 high · 8 medium · 6 confirmed strengths**
Overall	**Excellent analysis built on a materially outdated description of the asset. The thesis survives; the numbers do not.**

> *Prepared by a non-lawyer. Not legal, tax or investment advice. Every correction below is verified against the underlying SEC filing and the filing is identified. The valuation illustrations are arithmetic, not appraisals.*

THE HEADLINE

This is a strong memorandum. Section VI — the argument that loan-to-own was never the strategy, grounded in what WTI wrote into its own documents and in what Article 9 actually permits a secured creditor to do — is the best-argued passage in the entire Innventure file. The observation that the prepayment make-whole requires payment of every dollar of remaining scheduled interest, undiscounted, and therefore explains why a company that raised $50.2 million of equity did not retire a 13.5% loan, is a genuinely original piece of work. So is the observation that the Accelsius Series B was structured as subsidiary preferred equity precisely because that threads the negative covenants without a consent, and that WTI collected nothing on the single most value-relevant financing in the group.

The problem is the asset itself. The memorandum describes the 2024 WTI Warrants as "approximately 1.3 million penny warrants" across two issuances. That description came from the October 2024 Form 8-K and it has been superseded. The Form 10-Q for the quarter ended 30 June 2026 states:

> *"Each of the 2024 WTI Warrants is exercisable into one share of Common Stock. The number of shares of Common Stock deliverable under the 2024 WTI Warrants is not fixed; it is determined by dividing an aggregate coverage amount of $10.0 million by an exercise price that functions as a divisor rather than as the cash price payable per share... As of April 3, 2026, the date which is the 18 months after the Company's Common Stock began trading, the VWAP was $4.01. As such, the exercise price of the 2024 WTI Warrants was reduced from $10.00 to $4.01, and the aggregate number of shares of Common Stock deliverable upon exercise of the 2024 WTI Warrants increased from 1,000,000 to 2,493,765."*

The 2024 warrants alone are 2,493,765 shares — nearly double the memorandum's figure for the entire position. And the 2025 warrants carry a further reset dated 14 October 2026, six weeks from the date of this memorandum, on a coverage amount the memorandum states as half its actual size. The instrument is not a fixed penny warrant. It is a coverage-amount instrument whose share count rises as the stock falls — which is a materially better asset than the one described, and a materially different negotiation.

Summary of findings

#	Finding	Severity	Effect
C1	**The 2024 warrants are 2,493,765 shares, not 1,000,000**	CRITICAL	The share count is not fixed. It reset on 3 April 2026 when the exercise price fell from $10.00 to $4.01.
C2	**The 2025 warrant coverage is $3.0 million, not $1.5 million**	CRITICAL	The memorandum appears to have doubled the Fund XI exhibit figure rather than using the disclosed aggregate.
C3	**A dated reset falls on 14 October 2026 and is not mentioned**	CRITICAL	Six weeks out. On the disclosed mechanic the 2025 share count could rise several-fold.
C4	**The position may already cross 5% of the common**	CRITICAL	Treated as a minor diligence item for a 1.5% position. It may be a threshold question.
C5	**The $18.75M mark is the issuer's liability, not the seller's asset**	CRITICAL	Negotiating against the wrong side's carrying value.
H1	WTI is owned by a public company	HIGH	P10, Inc. (NYSE: PX) acquired the management company in 2022. The decision chain is not purely partner-driven.
H2	The BDC structure cuts against the seller-motivation thesis	HIGH	Selling below carrying value is an audited accounting event, not only a portfolio preference.
H3	The valuation frame is probably too high	HIGH	The put is an unsecured claim on a going-concern issuer. Discounted and credit-adjusted it lands well below the teens.

#	Finding	Severity	Effect
H4	“Change of control” and “Liquidity Event” are conflated	HIGH	The distinction determines whether the put can crystallise before October 2028.
H5	The buyer’s use of the position is never stated	HIGH	Credit trade, equity trade, or standing in a restructuring? The memo does not say.
H6	Innventure as competing buyer gets one clause	HIGH	It is the most plausible exit and deserves a section.
H7	The dilution interaction runs the buyer’s way and is unexamined	HIGH	A coverage-amount instrument is anti-dilutive to its holder. That is the opposite of what the memo implies.
M1	“Penny warrants” is the wrong term throughout	MEDIUM	The $0.01 is the per-share purchase price; the economics run through the divisor.
M2	The ~$16M gross principal figure is asserted, then flagged as unverified	MEDIUM	It appears as fact in the Executive Summary and as an open item in Part VIII.
M3	The participation right is $5 million, not $1.5 million	MEDIUM	Disclosed as up to $5 million in the aggregate, or pro rata maintenance.
M4	The 2025 warrants were issued 14 April 2025, not on the consent date	MEDIUM	Consent dated 21 March 2025; warrants issued 14 April 2025.
M5	The BDC/RIC characterisation is asserted without a source	MEDIUM	Verify the fund vehicles’ form and election before relying on the RIC distribution argument.
M6	No position summary at the front	MEDIUM	A reader cannot see what is being bought without assembling it from three sections.
M7	The document index table is unreadably wide	MEDIUM	Five columns at full width. Restructure to three.
M8	No sensitivity analysis anywhere	MEDIUM	A single opening range, no grid across discount rate and credit haircut.
S	**Six passages are excellent and should survive editing**	STRENGTH	See Part V. Section VI in particular should not be shortened.

C1 and C2. The warrants are coverage-amount instruments, not fixed penny warrants

Both series work the same way. The holder is entitled to a dollar amount of stock — the Coverage Amount — and the "exercise price" functions as the divisor that converts that dollar amount into a share count. When the stock falls, the divisor falls and the share count rises. The Company's own Form 10-Q says so in terms: the number of shares "is not fixed."

Series	Coverage amount	Exercise price mechanic	Status	Shares
2024 WTI Warrants	$10,000,000 ($7.5M Fund X / $2.5M Fund XI)	Initially $10.00. Reset once, at the 18-month trading anniversary of 3 April 2026, to the trailing five-day VWAP if lower.	VWAP was $4.01. Exercise price reset $10.00 → $4.01.	**1,000,000 → 2,493,765**
2025 WTI Warrants	$3,000,000 ($2.25M Fund X / $0.75M Fund XI)	Initially the 30-day VWAP preceding 14 April 2025. Resets again on 14 October 2026 to the trailing five-day VWAP if lower.	**Reset has not yet occurred. Six weeks away.**	**300,000 → to be determined**

The memorandum states the 2025 coverage amount as $1.5 million. The registration statements state it as $3,000,000, split $2,250,000 to Fund X and $750,000 to Fund XI. The memorandum's Appendix A correctly cites Exhibit 4.3 as showing $750,000 — that is the Fund XI piece alone. It appears the aggregate was reconstructed by doubling the Fund XI figure rather than adding the Fund X figure. The share count of 300,000 in the memorandum is consistent with a $3.0 million coverage amount at a $10.00 exercise price, so the count is right and the coverage is understated by half.

Note also that the 300,000 figure is now stale on its own terms. The 2025 warrants were struck at a VWAP measured in April 2025, when the stock traded far higher than today.

C3. There is a dated catalyst six weeks away that the memorandum does not mention

The 2025 WTI Warrants Exercise Price resets on 14 October 2026 to the trailing five-day VWAP if that VWAP is lower than the current exercise price. At a $3.0 million coverage amount, the arithmetic is mechanical.

Assumed 14 Oct 2026 VWAP	2025 warrant shares	Combined 2024 + 2025	Percent of 84,612,657
$2.00	1,500,000	3,993,765	4.72%
$1.60	**1,875,000**	**4,368,765**	**5.16%**
$1.30	**2,307,692**	**4,801,457**	**5.67%**
$1.00	**3,000,000**	**5,493,765**	**6.49%**

These are illustrations at assumed prices, not forecasts. The point is directional and it is important: a buyer who acquires the 2025 warrants before 14 October 2026 captures whatever the reset delivers, and the reset is worth more the further the stock falls. That is a rare thing — a position that improves as the underlying deteriorates — and it is entirely absent from a memorandum dated six weeks before the event.

Corroboration that the market is already pricing it: the 2025 warrant liability is carried at $3.24 million against roughly $390,000 of intrinsic value at 300,000 shares and $1.30. The issuer's own valuation is modelling the reset.

C4. The 5% threshold is a live question, not a diligence footnote

The memorandum asks the group to "evaluate Section 16/13(d) and Nasdaq implications of a 1.3M-share position." At 1.3 million shares against 84.6 million outstanding that would be 1.5% — comfortably below every threshold, and the answer would be that there are no implications. On the corrected figures the answer may be the opposite.

The 2024 warrants alone are 2.95% of the outstanding common. Add a 2025 reset at anything under roughly $1.60 and the combined position crosses 5%. That engages Section 13(d) or 13(g) reporting on acquisition, engages the Company's ability to identify the holder, and — depending on how the warrants' exercise limitations are drafted — may engage blocker provisions. The memorandum notes in passing that the Fund XI warrant contains an issuance limitation tied to the Fund X warrant and the Series B preferred; that limitation needs to be read, because it may cap what a holder can actually take delivery of.

Two further consequences follow. First, if WTI's own position already exceeds 5% on an as-exercised basis, WTI may have its own reporting obligations — worth checking, because the absence of a filing would itself tell you something about how the exercise limitations work. Second, a buyer crossing 5% loses the ability to accumulate quietly, which changes the sequencing of any related equity strategy.

C5. The $18.75 million is Innventure's liability mark, not WTI's asset mark

The memorandum treats $18.75 million as "the carrying mark" and proposes to "open against" it, and separately says that "the market values WTI's position at its put value." Both statements attribute to the seller a number that belongs to the issuer.

The $15.51 million and $3.24 million figures are warrant liabilities on Innventure's consolidated balance sheet, measured by Innventure under ASC 820 and audited as part of Innventure's financial statements. They are the issuer's estimate of what it owes. WTI — as a business development company, if the memorandum's characterisation is right — marks the same instrument as an asset under its own valuation policy, approved by its own board and reviewed by its own auditors. Those two numbers are prepared by different parties, for different purposes, with different incentives, and there is no reason to assume they agree.

> **This matters in a specific way at the negotiating table. A seller does not care what the issuer carries the liability at. A seller cares what its own book says, because that determines whether a sale is reported to its investors as a realised gain or a realised loss. The memorandum's entire valuation approach is anchored to a number the counterparty has no reason to accept as its own. The right anchor is unknown and, for a private fund, unknowable in advance — which is itself an argument for opening the conversation with a question rather than a price.**

H1. WTI is a subsidiary of a public company

The memorandum describes WTI as “a partner-driven firm” for which “no intermediary is needed or advisable,” and characterises the counterparty as a 46-year-old private credit shop weighing its own franchise. That is half the picture.

In 2022, P10, Inc. (NYSE: PX) acquired 100% of the outstanding membership interests in Western Technology Investment — the management company that receives management fees from all active WTI funds — for $97 million in cash plus 3,916,666 membership units of P10 Intermediate Holdings, LLC exchangeable into P10 common stock. WTI has been a P10 platform business for roughly four years.

Three consequences. The franchise-reputation argument in Section VI remains sound but now protects P10’s asset as well as WTI’s, which if anything strengthens it. The decision to monetise a position may involve considerations above the fund level — P10 reports fee-paying assets under management quarterly and has its own investors. And the approach should be researched accordingly: P10’s public disclosure may say something about WTI fund vintages, deployment pace and Fund X’s life that is not otherwise available.

H2. The BDC structure argues against the seller-motivation thesis, not for it

The memorandum argues that converting “a mark-to-model warrant liability position into distributable cash two-plus years before the put matures is a legitimate portfolio-management win, particularly for a RIC managing distribution requirements.” The instinct is reasonable, but the accounting cuts the other way.

A business development company marks its investments to fair value every quarter under a board-approved valuation policy, with those marks subject to audit and, since Rule 2a-5, to a designated valuation designee framework. Selling an asset below its carrying value crystallises a realised loss and invites the question of why the mark was where it was. That is not a reason a fund will never sell — funds sell at discounts constantly — but it is an institutional friction the memorandum does not acknowledge, and it means the seller’s reservation price is anchored to its own mark in a way the memorandum treats as soft.

The countervailing point, which the memorandum has right and should keep, is duration: a finite-life vehicle holding an unsecured 2028 claim against a going-concern issuer has a genuine reason to prefer cash. Both things are true and the memorandum should say both.

H3. The valuation frame is probably too high, and anchored to the wrong instrument

The memorandum proposes “an opening range in the low-to-mid teens for the whole position.” Consider what is actually being bought. The dominant component is a contractual right to receive $15 million in cash from Innventure, exercisable from 22 October 2028, ranking as an unsecured obligation after the loan is repaid. That is not a warrant. It is a zero-coupon unsecured note with a small equity kicker attached.

Valued as such, over roughly 2.15 years:

Discount rate	No credit haircut	25% credit haircut	40% credit haircut
10%	$12.2M	$9.2M	$7.3M
12%	$11.8M	$8.8M	$7.1M
15%	**$11.1M**	**$8.3M**	**$6.7M**
20%	$10.1M	$7.6M	$6.1M

Add the equity component. At 2,493,765 shares and $1.30, the 2024 warrants carry roughly $3.2 million of intrinsic value — but that value is an alternative to the put, not additive to it, since the holder elects one or the other. The 2025 warrants are additive and are worth whatever the October reset makes them.

> **A group with a house view that Innventure survives to October 2028 should be prepared to pay toward the top of that grid. A group that shares the market's implied view — a $110 million capitalisation against $46.5 million of cash and $59.5 million of half-year operating burn — should not be opening in the teens. The memorandum should state the group's own credit view of Innventure at 2028 explicitly, because that single assumption drives the entire price.**

H4. "Change of control" and "Liquidity Event" are not the same thing, and the difference is the whole duration question

The memorandum says the cash right is exercisable "upon a Liquidity Event or at any time on or after October 22, 2028." The Company's registration statements say the warrants "may be exchanged… for a cash amount equal to $15 million (in the aggregate)… in lieu of exercise upon a change of control, at any time from and after the four-year anniversary of the Closing." The warrant instrument itself uses "Liquidity Event" in the net-exercise provision.

Whether those are the same defined term, and what each captures, determines whether the put can crystallise before October 2028. It matters now: the Company is running a strategic monetisation process for AeroFlexx and has said Refinity will be funded independently after the third quarter. Neither is obviously a change of control of Innventure, but the definitions may reach subsidiary dispositions, and a buyer paying for a 2028 claim would very much like to know whether it might mature in 2027. This should be resolved from Exhibits 4.1 and 4.2 before any approach, not after.

H5. What does the buyer actually do with it?

The memorandum explains why the warrants rather than the loan, and how to approach WTI. It never states the thesis for owning the asset. Three are available and they imply different prices and different counterparties.

Credit. Buy a $15 million 2028 unsecured claim at a discount and collect. This is the base case and it is a view on Innventure's 2028 solvency, nothing more.

Equity. Acquire 2.5 to 5 million shares of INV at an effective cost well below market, in a name where the float is the constraint. This is a view on the equity and it is the reason a group already holding INV might want it.

Position. Hold a claim that ranks ahead of stockholders and survives repayment of the loan. In any restructuring, sale of AeroFlexx or Accelsius, or negotiation with the Board, the holder of that claim has standing that a common stockholder does not. Given everything else in this file, this may be the most valuable attribute of the asset and the memorandum does not mention it.

H6. Innventure is the obvious competing buyer and gets one clause

The memorandum notes in a diligence bullet that the Company "has an obvious interest in retiring a $15M off-balance-sheet cash claim before 2028, which both validates the asset and may create a second bidder or a three-way structure." That is correct and it deserves a section rather than a clause, because it is simultaneously the principal risk to the trade and the most plausible exit from it.

The risk: if Innventure approaches WTI first, the asset disappears. The opportunity: a buyer who acquires at a discount to $15 million holds an instrument the issuer has a strong balance-sheet reason to retire early, and the issuer is the one counterparty who cannot argue the claim is unenforceable. The memorandum should model that exit explicitly, and should consider whether an approach to WTI creates information that reaches the Company.

H7. The instrument is anti-dilutive to its holder — which is the opposite of what the memorandum implies

A fixed-share penny warrant in a company issuing 25% more stock every six months is a decaying asset: the holder's percentage falls with every issuance. A coverage-amount warrant with a VWAP reset is the reverse. Every issuance that pushes the price down increases the share count the holder receives at the next reset.

Set against the facts elsewhere in this file — 88.4% share count growth in eighteen months, roughly $54 million of remaining capacity under the standby equity facility, a going-concern qualification — that is a materially attractive structural feature and it is the single best argument for owning the 2025 warrants specifically. The memorandum, describing the position as fixed penny warrants, cannot make this argument at all.

Factual precision

Memorandum states	The filings state	Where
"approximately 1.3 million penny warrants"	2,493,765 shares under the 2024 warrants alone, plus the 2025 warrants; and the $0.01 is the per-share purchase price on exercise, not a strike that drives the economics	Executive Summary, Parts IV, V, VII
"$1.5M aggregate coverage amount" (2025 warrants)	$3,000,000 — $2,250,000 Fund X and $750,000 Fund XI	Part II timeline, Appendix B
"$1.5M pro rata participation right"	Up to $5 million in the aggregate, or such amount as is necessary to maintain pro rata ownership	Part II timeline
"300,000 additional penny warrants… exercisable through March 31, 2035"	Correct as to expiry and as to the initial count, but the count is a function of a $3.0M coverage amount and will change on 14 October 2026	Part II timeline
2025 warrants issued on the consent date	Consent dated 21 March 2025; warrants issued 14 April 2025	Part II timeline
"roughly $16 million of gross principal remaining"	Asserted in the Executive Summary and Appendix B, then listed as unverified in Part VIII. The 10-Q shows notes payable of $7.7M current and $5.9M long-term, net of discount and commingled	Executive Summary, Parts IV and VIII
"Maryland corporations structured to qualify as BDCs and RICs"	Asserted without a source. The RIC distribution argument in Part V depends on it	Part III
"56.9% FD at closing" (pledged Accelsius units)	Plausible but uncited; the 10-K figures for economic ownership at each date are 55.6% (Oct 2024), 52.7% (Mar 2025), 43.2% (Mar 2026)	Appendix B

Structure and presentation

1. Add a one-page position summary at the front. A reader currently has to assemble the asset from the Executive Summary, Part IV and Appendix B. One table — coverage amount, current share count, reset dates, cash right, expiry, transfer status, current issuer mark — would let a principal see the whole thing in fifteen seconds.
2. Restructure Appendix A. Five columns at full page width produces lines of four or five words. Collapse to three columns — document and date, what it contains, and where it is — and put the URLs in a footnote or a plain list.
3. Add a sensitivity grid. A single opening range invites a single counter. A grid across discount rate and credit haircut, with the group's own view marked, gives the negotiator something to defend.
4. Move the transferability question from Part VIII to the Executive Summary. It is not an open item, it is the condition precedent to the entire thesis. If the $15 million cash right does not travel to an unaffiliated transferee, there is no trade, and the memorandum should say so on page one.
5. Separate the two warrant series throughout. They have different coverage amounts, different reset mechanics, different expiries and very different risk profiles. The memorandum blends them into "the warrant position" and loses the distinction that matters most — that the 2024 series is a credit instrument and the 2025 series is a levered short-vol position on the equity.
6. State the group's credit view of Innventure at October 2028 explicitly. Every number in the valuation section depends on it and it is currently implicit.

IV WHAT IS EXCELLENT — PRESERVE IT

1. Section VI, on why loan-to-own is not the strategy. The three-part structure — WTI disarmed itself in its own documents; a secured creditor cannot capture collateral surplus under Article 9 because disposition must be commercially reasonable and surplus must be remitted; and WTI already engineered the upside claim it wanted — is the best-argued passage in the entire Innventure file. Do not shorten it.
2. The prepayment make-whole insight. Observing that the Supplement requires payment of every dollar of remaining scheduled interest, undiscounted, and that this explains why a company holding $46.5 million of cash after raising $50.2 million did not retire a 13.5% loan, answers a question most readers would have asked and nobody else has answered.
3. The observation on the Accelsius Series B. That it was structured entirely as subsidiary preferred equity, which threads the negative covenants without requiring consent, and that WTI therefore collected nothing on the most value-relevant financing in the group — while it had collected roughly $3 million of warrants for a signature on the Yorkville consent — is a genuinely sharp piece of structural reading.
4. The Transparency Pledge as revealed preference. Reading Section 1.4 as evidence of intent rather than as boilerplate is exactly right, and the point that a lender wanting the collateral would have drafted the opposite document is the correct way to make it.
5. The unfunded tranches analysis. Setting out the 85%-of-plan-at-each-entity condition plus WTI's subjective satisfaction, and characterising it as a discretionary funding valve that worked as designed, is a better explanation of what happened than the filings give.
6. The honest assessment of probability. "The most likely first answer is a polite hold" is the right register, and the observation that the approach creates intelligence on how the most informed credit counterparty in the capital structure views Innventure is worth the call on its own.

V RECOMMENDED STEPS

#	Action	When
1	**Obtain Exhibits 4.1 and 4.2 and read them in full before anything else. Confirm: whether the $15 million cash right travels to an unaffiliated transferee; the definition of Change of Control and of Liquidity Event and whether either reaches a subsidiary disposition; the exercise limitation referencing the Fund XI warrant and the Series B preferred; and whether any further reset exists beyond 3 April 2026.**	**Condition precedent to the thesis**
2	**Correct every share count and coverage figure to the Q2 2026 Form 10-Q and the April 2026 registration statements. The 2024 series is 2,493,765 shares at a $4.01 divisor; the 2025 series carries a $3.0 million coverage amount and resets 14 October 2026.**	**Before circulation**
3	**Decide whether to act before 14 October 2026. This is the only dated event in the analysis and it cuts in the buyer's favour if the stock stays weak.**	**Six weeks**
4	Run the 13(d)/13(g) analysis properly at the corrected share count, including whether any exercise limitation caps deliverable shares below the threshold, and whether WTI itself has or should have filed.	Before approach
5	Re-anchor the valuation on the put as an unsecured 2028 claim, with an explicit house view on Innventure's 2028 solvency and a sensitivity grid.	Before approach
6	Research P10, Inc. disclosure for WTI fund vintages, Fund X remaining life and deployment pace. It is public and it speaks to the seller's clock.	Before approach
7	Model the Innventure-as-buyer scenario as both a competing-bidder risk and an exit, and decide in advance whether the group would sell to the issuer.	Before approach
8	Separate the two warrant series in the memorandum and state a distinct thesis for each.	Redraft
9	Add the position summary table, restructure Appendix A, and move transferability to the front.	Redraft

One closing observation

> **The memorandum's conclusions survive every correction above — and two of them get stronger. The asset is larger than described, it grows as the stock falls, and it carries a dated catalyst six weeks out. What the corrections change is the price, the reporting posture and the urgency. A memorandum that opens in the low-to-mid teens for 1.3 million penny warrants is describing a different trade from one that opens in the high single digits for a 2028 unsecured claim plus four to five million shares of resetting equity exposure. Get the asset right and the rest of the analysis does its work.**